

USDA Foreign Agricultural Service

# GAIN Report

Global Agricultural Information Network

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## Russian Federation

**Post:** Moscow

### Oilseeds Crop September Update

**Report Categories:**

Oilseeds and Products

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**Report Highlights:**

Area sown to oilseeds in Russia increased in MY 2010 by 20 percent to 9.7 million hectares. However, drought in the European Russia seriously affected yields of sunflowerseeds, and production might not increase from last year's 6.4 million metric tons. Rainy weather in the Far East may decrease soybean yields compared with last year, and production may increase only by 6 percent to 1.0 MMT.

## **General Information:**

### Oilseeds sown area

According to the Federal State Statistical Service of Russia (Rosstat), oilseed area in Russia increased in 2010 by 20 percent to almost 9.7 million hectares. Sunflowerseeds, soybeans, and rapeseed, Russia's three major oilseed crops, were sown on 9.3 million hectares: 7.2 million hectares of sunflowerseeds (16 percent increase from last year), 1.2 million hectares of soybeans (37 percent increase from last year), and 0.9 million hectares of rapeseeds (27 percent increase). The increase in oilseeds area was caused by low grain prices in spring 2010, winter grain damage and growing demand for protein feeds. Farmers in the Central, Volga Valley federal districts were replacing grain with sunflowseeds and even soybeans in spring 2010.

### Production

Despite increased area, Russia's oilseeds crop may not increase from last year. The severe drought in the European Russia, which decreased Russia's grain production by 34 percent, has also damaged Russia's sunflowerseeds crop. Sunflowerseed harvest begins in late August - September, but experts already report that yields of sunflowerseeds in the Central and the Volga Valley federal districts of Russia, the major sunflowerseed producing area, will be much lower than expected. FAS Moscow forecasts sunflowerseed production at 6.4 million metric tons (MMT), almost the same as last year, while the average yields might be 13 -15 percent lower than last year. Experts forecast sunflowerseed production at 5.9 MMT - 6.5 MMT.

The Russian Far East remains the major producer of soybeans (65 percent of Russia's production) and soybean area in this region increased in 2010. However, farmers in Amur oblast that produce up to 45 percent of Russia's soybeans report that untypically rainy weather damaged a significant portion of soybean crop, and soybean production will hardly increase from last year. This year soybean area increased in the Central Federal District (produces approximately 7 percent of soybeans), but farmers report that heat damaged most of their crop. However, the soybean crop in the Southern Federal District (20-25 percent of Russia's production) will increase. FAS Moscow forecasts that Russia's total soybean production might increase from last year by 6 percent to 1.0 MMT despite the 37 percent increase in sown area.

Russian farmers began harvesting rapeseeds in July, and by August 25 have already harvested over 440,000 metric tons of seeds from 286,000 hectares. So far yields have been 18 percent lower than on the same date last year. However, given increased area, Russia's rapeseeds production is forecast to increase by 15 percent from last year to 0.8 MMT.

Production of the three major oilseed crops is forecast at 8.2 MMT, only 0.2 MMT more than in 2009.

### Consumption, Trade, Stocks

The drought which caused a shortage of grain and grass-based feeds might increase poultry and livestock farmers' demand in protein meals, wherever feeding can be adjusted. However, domestic oilseeds production will not be able to fill the growing demand in protein feeds. Thus, in MY 2010<sup>[i]</sup> Russian crushers may increase imports of oilseeds, primarily soybeans. FAS Moscow forecasts soybean imports to increase by 20 percent to 1.3 MMT. Russian crushers may also increase imports of sunflowerseeds from Ukraine to 0.2 MMT. Thus, the total oilseeds crush may increase by 3 percent to 8.9 MMT. This scenario will allow Russia to keep carry-over stocks of oilseeds by the end of marketing year 2010 at the same level as in the beginning of marketing year – 0.4 MMT.

<sup>[i]</sup> Marketing year for Russia's major oilseeds crops is from September to August

## Production, Supply and Demand Data Statistics :

PSD, Sunflowerseed, 1,000 Metric Tons, Area in 1,000 Hectares

| Oilseed, Sunflowerseed<br>Russia | 2008/2009                      |             |             | 2009/2010                      |             |             | 2010/2011                      |             |             |
|----------------------------------|--------------------------------|-------------|-------------|--------------------------------|-------------|-------------|--------------------------------|-------------|-------------|
|                                  | Market Year Begin:<br>Sep 2008 |             |             | Market Year Begin:<br>Sep 2009 |             |             | Market Year Begin:<br>Sep 2010 |             |             |
|                                  | USDA<br>Official               | Old<br>Post | New<br>Post | USDA<br>Official               | Old<br>Post | New<br>Post | USDA<br>Official               | Old<br>Post | New<br>Post |
| Area Planted                     | 5,200                          | 5,200       | 5,200       | 5,200                          | 6,190       | 6,190       | 5,200                          | 6,300       | 7,150       |
| Area Harvested                   | 6,000                          | 6,000       | 6,000       | 5,600                          | 5,590       | 5,590       | 6,100                          | 6,000       | 6,400       |
| Beginning Stocks                 | 290                            | 290         | 290         | 575                            | 575         | 575         | 275                            | 245         | 245         |
| Production                       | 7,350                          | 7,350       | 7,350       | 6,425                          | 6,425       | 6,425       | 6,500                          | 7,400       | 6,400       |
| MY Imports                       | 12                             | 12          | 12          | 20                             | 10          | 10          | 10                             | 10          | 200         |
| MY Imp. from U.S.                | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| MY Imp. from EU                  | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| Total Supply                     | 7,652                          | 7,652       | 7,652       | 7,020                          | 7,010       | 7,010       | 6,785                          | 7,655       | 6,845       |
| MY Exports                       | 160                            | 160         | 160         | 25                             | 30          | 30          | 80                             | 200         | 20          |
| MY Exp. to EU                    | 70                             | 70          | 70          | 70                             | 0           | 0           | 80                             | 50          | 20          |
| Crush                            | 6,210                          | 6,210       | 6,210       | 6,065                          | 6,105       | 6,105       | 5,830                          | 6,500       | 6,000       |
| Food Use Dom. Cons.              | 215                            | 215         | 215         | 220                            | 220         | 220         | 220                            | 220         | 200         |
| Feed Waste Dom. Cons.            | 492                            | 492         | 492         | 435                            | 410         | 410         | 430                            | 400         | 400         |
| Total Dom. Cons.                 | 6,917                          | 6,917       | 6,917       | 6,720                          | 6,735       | 6,735       | 6,480                          | 7,120       | 6,600       |
| Ending Stocks                    | 575                            | 575         | 575         | 275                            | 245         | 245         | 225                            | 335         | 225         |
| Total Distribution               | 7,652                          | 7,652       | 7,652       | 7,020                          | 7,010       | 7,010       | 6,785                          | 7,655       | 6,845       |

PSD, Soybean, 1,000 Metric Tons, Area in 1,000 Hectares

| Oilseed, Soybean<br>Russia | 2008/2009                      |             |             | 2009/2010                      |             |             | 2010/2011                      |             |             |
|----------------------------|--------------------------------|-------------|-------------|--------------------------------|-------------|-------------|--------------------------------|-------------|-------------|
|                            | Market Year Begin:<br>Sep 2008 |             |             | Market Year Begin:<br>Sep 2009 |             |             | Market Year Begin:<br>Sep 2010 |             |             |
|                            | USDA<br>Official               | Old<br>Post | New<br>Post | USDA<br>Official               | Old<br>Post | New<br>Post | USDA<br>Official               | Old<br>Post | New<br>Post |
| Area Planted               | 725                            | 725         | 725         | 725                            | 874         | 874         | 1,000                          | 1,000       | 1,200       |
| Area Harvested             | 709                            | 709         | 709         | 792                            | 792         | 792         | 1,000                          | 850         | 900         |
| Beginning Stocks           | 40                             | 40          | 40          | 92                             | 92          | 92          | 103                            | 64          | 64          |
| Production                 | 744                            | 744         | 744         | 942                            | 942         | 942         | 1,150                          | 970         | 1,000       |
| MY Imports                 | 837                            | 837         | 837         | 1,050                          | 910         | 910         | 1,130                          | 980         | 1,300       |
| MY Imp. from U.S.          | 26                             | 26          | 26          | 90                             | 100         | 100         | 150                            | 150         | 150         |
| MY Imp. from EU            | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| Total Supply               | 1,621                          | 1,621       | 1,621       | 2,084                          | 1,944       | 1,944       | 2,383                          | 2,014       | 2,364       |
| MY Exports                 | 2                              | 2           | 2           | 1                              | 10          | 10          | 10                             | 10          | 20          |
| MY Exp. to EU              | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| Crush                      | 1,497                          | 1,497       | 1,497       | 1,950                          | 1,850       | 1,850       | 2,180                          | 1,920       | 2,200       |
| Food Use Dom. Cons.        | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| Feed Waste Dom. Cons.      | 30                             | 30          | 30          | 30                             | 20          | 20          | 30                             | 20          | 20          |
| Total Dom. Cons.           | 1,527                          | 1,527       | 1,527       | 1,980                          | 1,870       | 1,870       | 2,210                          | 1,940       | 2,220       |
| Ending Stocks              | 92                             | 92          | 92          | 103                            | 64          | 64          | 163                            | 64          | 124         |
| Total Distribution         | 1,621                          | 1,621       | 1,621       | 2,084                          | 1,944       | 1,944       | 2,383                          | 2,014       | 2,364       |

PSD, Rapeseed, 1000 Metric Tons, Area in 1,000 Hectares

| Oilseed, Rapeseed<br>Russia | 2008/2009                      |             |             | 2009/2010                      |             |             | 2010/2011                      |             |             |
|-----------------------------|--------------------------------|-------------|-------------|--------------------------------|-------------|-------------|--------------------------------|-------------|-------------|
|                             | Market Year Begin:<br>Jul 2008 |             |             | Market Year Begin:<br>Jul 2009 |             |             | Market Year Begin:<br>Jul 2010 |             |             |
|                             | USDA<br>Official               | Old<br>Post | New<br>Post | USDA<br>Official               | Old<br>Post | New<br>Post | USDA<br>Official               | Old<br>Post | New<br>Post |
| Area Planted                | 650                            | 650         | 650         | 570                            | 570         | 570         | 650                            | 650         | 800         |
| Area Harvested              | 626                            | 575         | 575         | 555                            | 600         | 600         | 630                            | 630         | 750         |
| Beginning Stocks            | 141                            | 143         | 143         | 224                            | 226         | 226         | 85                             | 101         | 101         |
| Production                  | 752                            | 752         | 752         | 667                            | 667         | 667         | 700                            | 760         | 770         |
| MY Imports                  | 1                              | 1           | 1           | 1                              | 5           | 5           | 5                              | 0           | 0           |
| MY Imp. from U.S.           | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| MY Imp. from EU             | 1                              | 0           | 0           | 1                              | 1           | 1           | 1                              | 0           | 0           |
| Total Supply                | 894                            | 896         | 896         | 892                            | 898         | 898         | 790                            | 861         | 871         |
| MY Exports                  | 63                             | 63          | 63          | 120                            | 110         | 110         | 110                            | 80          | 80          |
| MY Exp. to EU               | 78                             | 78          | 78          | 75                             | 75          | 75          | 70                             | 75          | 70          |
| Crush                       | 590                            | 590         | 590         | 670                            | 670         | 670         | 620                            | 680         | 730         |
| Food Use Dom. Cons.         | 0                              | 0           | 0           | 0                              | 0           | 0           | 0                              | 0           | 0           |
| Feed Waste Dom. Cons.       | 17                             | 17          | 17          | 17                             | 17          | 17          | 16                             | 20          | 20          |
| Total Dom. Cons.            | 607                            | 607         | 607         | 687                            | 687         | 687         | 636                            | 700         | 750         |
| Ending Stocks               | 224                            | 226         | 226         | 85                             | 101         | 101         | 44                             | 81          | 41          |
| Total Distribution          | 894                            | 896         | 896         | 892                            | 898         | 898         | 790                            | 861         | 871         |